

Oversea-Chinese Banking Corporation Limited

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FQ1 2025 Earnings Call Transcripts

Friday, May 9, 2025 12:00 AM GMT

S&P Global Market Intelligence Estimates

	-FQ1 2025-			-FQ2 2025-	-FY 2025-	-FY 2026-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.41	0.42	▲2.44	0.41	1.60	NA
Revenue (mm)	3626.20	3655.00	▲0.79	3576.47	14523.41	NA

Currency: SGD

Consensus as of May-09-2025 3:58 PM GMT

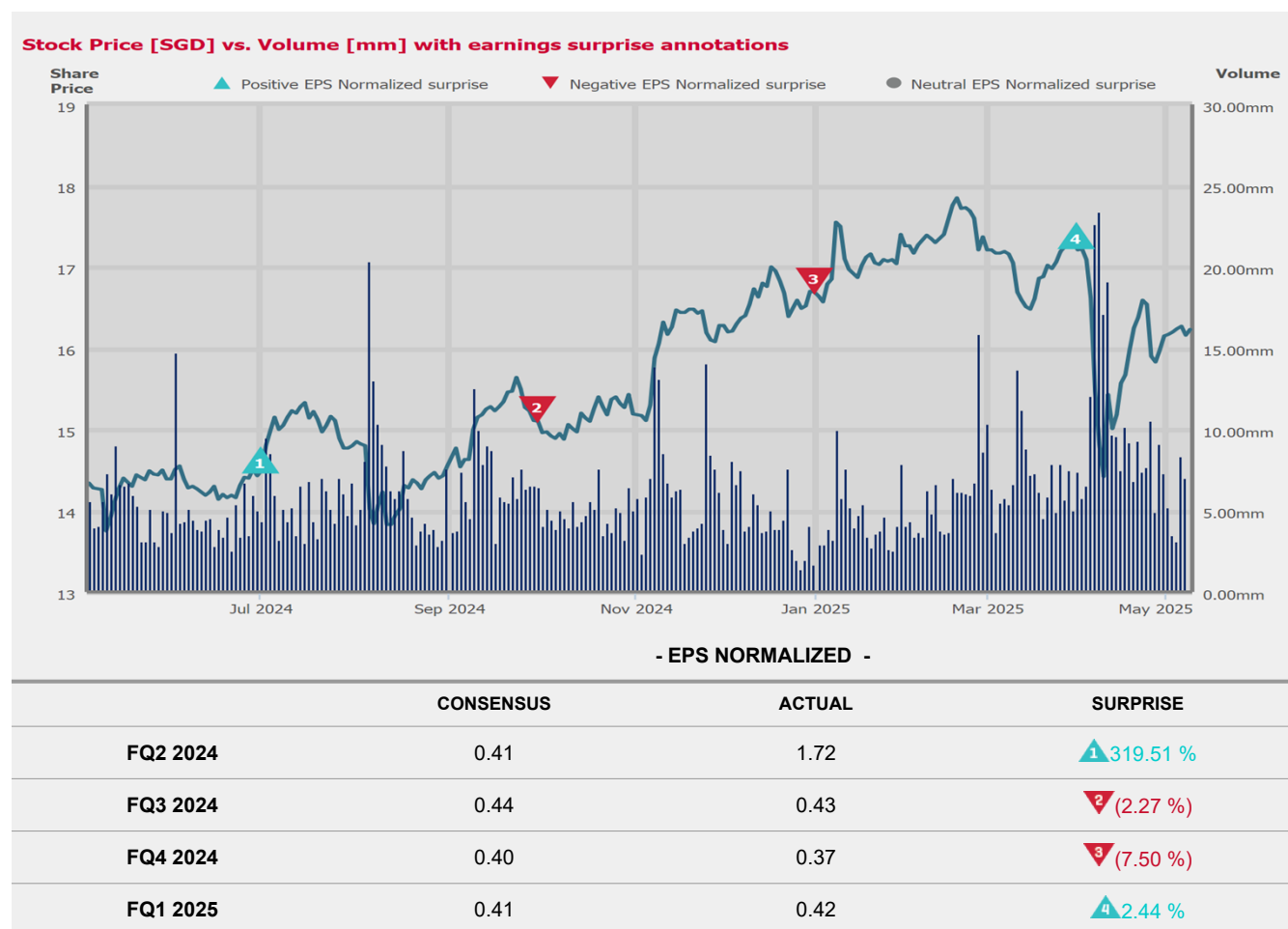


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Call Participants

EXECUTIVES

Chin Yee Goh

Group Chief Financial Officer

Ching Ching Koh

*Head of Group Brand &
Communications*

Pik Kuen Wong

*Group CEO & Non-Independent
Executive Director*

ANALYSTS

Unknown Analyst

Presentation

Operator

Welcome to our first quarter results briefing. So I guess we go straight into it since all familiar faces. Let Chin Yee start.

Chin Yee Goh

Group Chief Financial Officer

Good morning, everyone. Thank you for taking time to join us today. For the first quarter of 2025, group net profit was SGD 1.88 billion, up 12% quarter-on-quarter, but down 5% compared to the record quarter a year ago. ROE was 13% on an annualized basis. Total income grew 7% quarter-on-quarter and 1% year-on-year to SGD 3.66 billion. Net interest income was 4% lower at SGD 2.35 billion against backdrop declining interest rates. I'll cover more on NII in my later slides.

Noninterest income increased 36% Q-on-Q and 10% year-on-year to SGD 1.31 billion, driven mainly by stronger well-related fees, trading and insurance income. Cost-to-income ratio improved to 38.7%. Against last year, loans and deposits grew by high single digit. Asset quality remained healthy with NPL ratio at 0.9%. Total credit costs were higher at 24 basis points on an annualized basis. We adopted a prudent approach to set aside additional free entities allowances in view of the current macroeconomic uncertainties and heightened geopolitical tensions.

Our capital position remains robust. Transition common equity Tier 1 ratio was 17.6%. Fully phased-in CET1 ratio was 15.5%. Moving on to Slide 5, our performance highlights of our 3 key businesses pillars. The strength of our diversified franchise is reflected in the performance across our banking, wealth management and insurance pillars.

Banking operations profit was unchanged Q-on-Q. Our 15% increase in noninterest income compensated for the lower net interest income. Wealth management income and asset under management were at record highs. Wealth management income was 29% above the last quarter at SGD 1.37 billion, it now contributes more than [indiscernible] of 38% of our Group's total income.

AUM rose 2% from last quarter to SGD 306 billion from continued net new money inflow. For insurance, its profit contribution from TAH increased significantly to SGD 322 million. This was driven by stronger investment performance as well as underlying insurance business. You recall, in 4Q '24, we recognized a one-off negative impact from the changes in the medical insurance business in these key markets, Singapore and Malaysia.

Turning our attention to net interest income on Slide 9. Net interest income for 1Q '25 was SGD 2.35 billion, 4% lower compared to a quarter ago. While average asset grew by 3%, this was more than offset by a narrow word NIM and effect of a softer quarter.

NIM compressed 11 basis points quarter-on-quarter to 2.44%. This was partly due to the declining [indiscernible] in first quarter of '25 after taking in the full impact of the debt rates cuts in late 2024. Almost 3/4 of our loan book are denominated in Singapore dollar, U.S. dollar and Hong Kong dollar.

And these are predominantly on floating rates. Notably, the pass-through effect of the Fed rate cut was more pronounced by Singapore dollar and Hong Kong dollar rates, which experienced much sharper decline compared to the Fed rate cuts.

Consequently, the decline in our loan grows outpace the reduction to deposit costs which typically be priced much lower than loans. In addition, NIM was -- NIM also declined as part of our plan assets to defend net interest income that is intentionally deploying deposits to grow our liquid assets. This was part of our active balance sheet management strategy to defend our outcome over the long run, especially as we expect further Fed rate cuts in the second half this year.

Our asset NIM for March was 2.43%. At the end March 2025, NIM sensitivity based on 1 basis point drop in risk across our 4 major currencies of Sing dollar, Malaysian ringgit, Hong Kong dollars and U.S. dollars was around SGD 5 million on an annualized basis.

Noninterest income grew double digits to reach SGD 1.31 billion. The growth was underpinned by higher wealth-related fees, trading and insurance income. I will elaborate more on our fees and trading income in the next few slides.

Fee income for first Q of '25 was up 6% Q-on-Q and 14% year-on-year, led by higher wealth related, loan related and investment banking fees. Total fees also reached the highest level since the start of 2024. We continue to see good momentum in wealth management, both wealth management fees and asset under management delivered double-digit growth year-on-year. Our AUM rose 12% to SGD 306 billion. led by continued net new money inflows.

In first Q of '25, we saw net new money inflow of SGD 5 billion. About 60% of our AUM are placed into the investments across all our wealth segments. For the first quarter, trading income grew 31% quarter-on-quarter to SGD 396 million, this was underpinned by stronger customer flow and noncustomer flow trading income. The rise in our customer flow trading income was contributed by both wealth and corporate segments.

Turning on to operating expenses. Operating expenses for the quarter declined 9% from 4Q '24. The reduction is largely attributed to the higher cost incurred in the fourth quarter of last year to fund our strategic initiatives and to boost -- to pursue loan business growth. Cost-to-income ratio for first first Q of '25 was below 40%. I mentioned [38.7%].

Turning on to portfolio quality. Our overall growth portfolio quality remain resilient. NPL ratio was 0.9%, lower than a year ago. We have reviewed our portfolio and assess the trade tariffs and first order impact on 3% of our loan book. We further stress tested our portfolio for potential vulnerability and assessed our portfolio remains resilient.

First Q '25 total allowances were SGD 212 million, up from the prior quarter and year ago. This was mainly driven by allowances for non-impaired assets. Allowances set aside for non-impaired assets was SGD 118 million comprises mainly the pre-and peak allowances that are mentioned earlier.

Total credit costs for the quarter were an annualized 34 basis points within our credit cost guidance of 20 to 25 basis points. Cumulative allowances rose for the first quarter as we continue to prudently set aside allowances. Our Group's NPA coverage ratio continued to trend higher to 162% as of March 2025.

Allowances for non-impaired loans were at 0.9% of total performing loans. Loan portfolio continues to be well diversified across geographies and industries. Our group loans grew 7% year-on-year to SGD 322 billion. We saw increases in residential mortgages and corporate loans led by the transport, storage and communications sector, which is in line with our group strategic focus to capture opportunities in the new economy sectors and high-growth industries.

By geography, the year-on-year increase in loans was led by growth in Singapore as well as in our overseas markets such as the U.K. and the U.S. Our Group's strong and stable funding position was supported by customer deposit, which represented about 80% of our funding base. Customer deposits was 9% higher year-on-year at SGD 403 billion from both CASA as well as fixed deposits growth.

Over the same period, lower-cost CASA balances grew by 12%, while CASA ratio improved to 48.9%. On capital, our Group's capital position remains sound with transitional CET1 ratio at 17.6%, up from 17.1% in the prior quarter. The increase was mainly from profit completion. CET1 ratio would be 15.5% on a fully phased-in basis. Pro forma CET1 ratio will be at 14.5% after the payment of our final and special dividend for FY '24, which is -- which will be paid today, that will bring us closer to our target of 14% CET1 ratio.

With this, I end my presentation and pass the floor over to Helen.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Good morning, everyone, again. Just -- I think Chin Yee has delivered quite a lot of information. I just want to maybe add a few points. I think overall, our first quarter results does reflect the strength of our diversified business franchise, which enabled us to deliver a very resilient set of results. So total income grew quarter-on-quarter. And if you look at it, supported by broad-based non-AI, across fees, insurance, trading, et cetera, and this more than offset the lower NII.

Wealth management income and AUM are doing fine. They are recorded highs. And as Chin Yee talked about treasury SGD 206 billion and rose SGD 7 billion and actually SGD 5 billion is from net -- new money inflows, both in Bank of Singapore and also our [indiscernible] business on Premier and Premier Private.

So cost-to-income ratio came back down to lower 40, but it is important or very important that we continue to exercise very tight cost discipline, a view of the uncertainty in the market. Sometimes people always ask me about investment and you stop investing and all that. I think we have to look at it in 2 ways.

A lot of investments is just crucial and you cannot stop because it is building also for the future. Some are invested to continue to make more BAU or your business as usual better. But for -- there are costs that are variable that we can have more discipline on. It is those costs that we can -- I mean in worst market, for example, if you take a little bit best, maybe you do less marketing cost, right?

You hold a few less -- few less events, but it doesn't mean that you are not doing things because your clients are expecting you also being more time, more focus on helping them as well. So we will continue to execute a very tight cost discipline. And with this say, we continue to see deposit and low inflows as well.

Asset quality, we want to highlight, NPL ratio at 9%. We'll always took a prudent approach to look at whether we have a commit focus on our launches. And given the uncertainties in the operating environment, we did say that we put aside more [indiscernible] 1 and 2.

And we continue to be very vigilant on how we underwrite transactions, how do we monitor our portfolio, doing the right stress tests, looking at how we do it and indeed, our tariff situation. We're quite prepared for it, and indeed has already think about how our portfolio is like. I think Chin Yee talked about first order of impact.

Of course, you define, you look at the industry, your customers are in and talk about what are the second order and ultimately those customers that is what we call a saver portfolio, which is predominantly more domestic -- domestic driven in the demand and the business is more domestic.

And this includes utilities, our local real estate, digital centers. You talked about financial intermediaries et cetera. This would be the sectors with a strong domestic focus, that would be much, much less impacted by tariff. So we are very prepared and we analyze and do stress tests like this. We also focus on achieving our strategic goals despite the uncertainties.

So we're seeing that our performance for the first quarter was resilient, but indeed focus is on the future. On the future is, I think you all -- we can talk about announcing 2023, a 3-year plan of bringing incremental revenue, right? So I said 2 years has passed, we say that we overshot, talking a bit by the end of last year by achieving close to SGD 2 billion out of the SGD 3 billion was supposed to reach SGD 1.5 billion last year.

This year with what we have done well, exceeding our target last year, I think we are quite comfortable still to deliver the SGD 3 billion this year. But we don't stop that, right? So actually well in the advance in last year when we look at -- what is it -- what is our strategy is still about it?

What else are we doing in order to continue to be able to grow our bank and build the group and also help our customers going into the future. And you recall last year, we set up a strategy and transformation division as early as in the April last year.

And we know -- I mean, as we look at the world, right, and we're quite well prepared for the tariff situation. I talked a lot about being vigilant on your portfolio, but also how do we react and how do we plan, right? And in our strategy, we have a special focus on handling -- and handling a situation like what we see today, right?

Of course, nobody exactly knows what preparation they mean and how much is a tariff that was sort of talked about, right? But what we are seeing is we have been having a strong focus on how we deal with situation like this. So we have a focused team working on situations.

So stress testing is one thing, but thinking about how that impacts our customers, how does that impact our own revenues, where we have to track them and where we have to actually expand to capture more revenues. These are all in the planning and with a very focus -- a special focus on what if the world become like this or what if the world become not like this. So I want to emphasize that.

And of course, IMF in reaction to the tough situation have also forecast global growth downward, right? And escalating trade tensions as well. So it is indeed a very unpredictable environment. But the whole point is about being nimble to recognize the potential impact, but also nimble to identify the opportunity that arise and then plan to invest in the right manner so that we will be able to continue to deliver resilient results.

Also actively engaging our customers and preparing them. So just to -- want to say in the first quarter, we did say wealth management fees are fine and stock market was doing not badly, right? And indeed -- want to just give you a data point and that particular week of very high volatility, we actually have very low amount of margin costs, meaning, we talk to our customers well in advance to prepare for uncertainty.

If you're not prepared, maybe that's a lot of customers that suffer, right? So I think we support all this with a very strong balance sheet, as Chin Yee presented our capital position and indeed our well-diversified business franchise has helped us to deliver this balance earnings throughout the cycles.

So flipping the slide, in view of the uncertain macroeconomic backdrop, we are still keeping, maintaining our financial targets. For the reason that, as we said, we have plans to hopefully, to achieve these targets, doesn't mean that this is set in stone, right? The market is still uncertain, but at this point, we do want to maintain the financial targets.

The exit NIM in March is 2.03%. We plan -- still plan for 3 rate cuts for rest of the year, but we don't know yet, right, whether that would certainly come. It looks like that potentially not in the second quarter, but maybe at the end of the second quarter, right?

So we have to -- we have actually attract more deposits and then invest in liquid assets as Chin Yee has said. The target growth in liquid assets for the first quarter has been achieved. We will moderate the growth of liquid assets in the coming quarters. We have also announced the lowering of some of our deposit pricing, so this would be able to help us to proactively manage our funding costs. So we'll see. We'll continue to be vigilant and look at the situation.

Our loan growth, we maintain a mid-single digit. So if you look at these 5 points, I would think, which ones probably see more happens is probably really loan growth, especially if the market continues to be very uncertain. It doesn't mean that we don't engage customers and customers don't need money, refinancing is always there.

And we do think that there will be some factual quality meaning we probably will be able to continue to keep customer relationships well and continue to take in more deposits and with customers talking to us about their investment needs. But if economic situation is going down, meaning economic growth is lower, of course, loan growth will be lower as well.

So cost-to-income ratio, we maintained low 40s and credit cost to be remain between 20 to 25 basis points. And I really want to say that we remain committed to deliver the 60% dividend payout ratio, which we have announced and coupled with our share buybacks over a 2-year period, which we have started. So of course, barring unforeseen circumstances, right? But it is what we are working towards. So with that, I pass to Ching Ching for Q&A.

Question and Answer

Ching Ching Koh

Head of Group Brand & Communications

Can you take the first question?

Unknown Analyst

Sure. Congratulations on a nice speech, and lowest [indiscernible] ratio among the 3 banks. My first question, could you give some colors about clients demand for hedging both for interest rates and CapEx?

My second question. Just want to ask, Chin Yee. You said that new money for the wealth management about SGD 3 billion -- SGD 5 billion as I say. Would you give a bit colors on [indiscernible]. Third one, why do you not publish Bank of Singapore in [indiscernible].

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I'll start with the first one, right, which is about customer demand for hedging. Customer demand for hedging is always there. And I want to say that I think with -- I think the whole market has been a lot more discipline after the last financial crisis. When you say discipline, meaning banks are very much there to help customers to manage the currency [indiscernible] interest rate risk. A lot of times, hedging doesn't come well be perceiving a crisis coming or uncertain situation coming.

These days, most of the time, if you look at customer raising money, a hedging proposition always go along with new borrowers. So hedging discussion is a day in, day out thing. It is really like talking to customers all the time. This is a very strong part of our discipline in our customers are planning, helping customers to plan.

So if you -- if customers have more a natural hedge, meaning if they buy and sell in the same market, in the same currency, hedging needs are lower, right? So to an extent of domestic customers, hedging needs will be lower, but we are serving a lot of cross-border business of our customers.

So that hedging is in particular important. Especially, if customers are having a longer-term financing, let's say, a 5-year financing. They will always look at the currency hedge and also at particularly some interest rate hedge as well. So is there a heightened demand for hedging? I wouldn't say so. But it is always, as we said, we want to anticipate what can be coming and advise customers accordingly.

Unknown Analyst

[indiscernible] you are seeing for [indiscernible].

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

There's certainly more conversation in managing the volatility. Conversation, meaning you would tell the -- I mean, I was just using the margin go as an example. That is not hedging, but if you are financing to be very active in -- you financing very actively into investments, meaning, you are not hedged, now your are exposed, right?

Even financing is a form of -- financing is a form of [execution]. When we think margin core is do you -- there are 2 ways to make sure your position is say, right? First is not to take over too much leverage and high risks, right? Because otherwise, when prices come down, you will suffer.

Similarly, if you're exposed to FX, if you are exposed to interest rate, then also can consider hedging, which is something we always provide to customer.

Unknown Analyst

No. [indiscernible].

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

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Let's say, it's a high profit. It's now is a high profit. It is not that it's a high profit because -- and it's not certainly where you see perceived as uncertainty you start to hedge. For normal business, for maybe you can say for individuals, whether they would then actually have a choice of a conference to say that they unwind certain investment, yes, that part can happen, it is a form of hedging as well.

Unknown Analyst

So just to be clear, you are not seeing -- I mean, your clients are generally adequately hedged because this is an action taken for all these uncertainties, did I understand you correctly?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

You can say that meaning there would be enough conversation to on how they hedge or they protect the exposure. But ultimately, it's clients choice, right? If they don't want to hedge it, it's clients choice, and certain clients decided to take a selling position, it is their choice, right?

But when we say, we are very diligent with our book is you do want to identify what clients are less prepared. So that is exactly what we're facing. And that is why we always have stress tests. If this come assuming some of our clients are not protected, that was that impact on our book, right? So when we say that has come, it's a form of uncertainty and we look at our first order impact, right?

First order impact, meaning industries that is more in manufacturing and international trade, that is have more relationship in doing business with China and the U.S. That's what we call us all the impact as much of this, you know that.

I mean, nobody can completely hedge for any uncertainty. So you cannot say -- you have to say that they have considered the risk and that everybody is -- we are comfortable that our clients are comfortable themselves that they have reached a position that even that is uncertain risk coming in, you can bring through it. Yes, because there is nothing like 100% hedged, 100% hedged, that means you're not gaining the benefits of that -- the off side, yes.

Chin Yee Goh

Group Chief Financial Officer

I think you're asking about the -- why we don't disclose [indiscernible]. Is this a question?

Unknown Analyst

Yes, this is the question, but it was a second question. There was a separate question.

Chin Yee Goh

Group Chief Financial Officer

So the reason is that I think we also received on investment come because we -- our other peers are also showing that AUM, including consumer private bank, we also only show private bank. So by putting in Singapore, a consumer bank, they are able to compare apples to apples in terms of the overall AUM [indiscernible] develop business, that's one.

So in terms of the sources of the increase -- you're talking about just for the wealth business. If I bet that new money is actually coming from both a premium [indiscernible] as well as Singapore business.

Unknown Analyst

Premium banking -- premium [indiscernible] client.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Wealth management [indiscernible]. I mean, in terms of this origination.

Chin Yee Goh

Group Chief Financial Officer

Okay. So if you look at this. It may be easier to see if you look at [indiscernible] Singapore, right? If you look at a year-on-year growth, it's actually coming from across. So in the AUM increase will come from Indonesia, Philippines, across [Asia]. Also, if you

look at it year-on-year, you saw like greater China markets. So I think it's quite relatively [indiscernible] in terms of the year-on-year growth.

Unknown Analyst

So just a few questions on the [indiscernible]. You mentioned the first quarter effect of tariffs go a few loan book. Could you just provide some color that of which sectors and which geographies, I think [indiscernible]. I think following on that, what about supply chain or not an impact on second and third order risks. You mentioned your portfolio, could you just provide some figures of factors can be affected, especially when the tariff cost ends. And I have a few more.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Order will be manufacture and production of goods, right? But excluding at the moment, those that are not in the tariffs, right? So at the moment, pharmaceutical, semiconductors and certain integrated circles so those are not in the tariffs yet. And other categories, international transport and storage goods. And then you have more materials and commodities. These are very subject to the tariff impact. So we say that together, this is about 3% of order book.

And then you have another category, right? What about the next -- what can filter through -- whether there will be a tariff on pharmaceuticals as we set right, later on and then wholesale traders, right?

So this is what you call the second category and then you look at the third category, that has a mostly domestic focus will be less impacted that's maybe the supply chain may be impacted, but those who are very much focused domestically also mainly sourced domestically as well.

And they are, for example, they are the service -- the service sector, right, [FNP], the service sector. And when you typically is -- yes. I mean you buy [indiscernible] but import, but that is not so much impacted because you are very domestic focus.

And then utilities is domestic focus, and then you talk about local construction, local real estate, residential real estate that locally, data center this will be less subject to tariffs in that sense. Our financial intermediaries. So I think -- if you say geography, you then look back into your loan book.

And if you look at our loan exposure, Singapore still the biggest and for the [indiscernible] are still very little onshore in China, very much comprised of offshore and Hong Kong and offshore, actually, of course, again, quite a lot in Singapore. So we do look at it that way and we stress just differently how we stress test the different categories.

Unknown Analyst

There are just a few here. Can I just check your sensitivity outlook for the year ahead. Is it still going to be SGD 5 billion to SGD 6.5 billion [indiscernible] 2025. And then your exit in for March is [indiscernible] you share your exciting for April, if we have that -- all right. And finally here, not you're comfortable with surpassing our SGD 3 billion incremental revenue target by end of the year. Will we be sharing a next 3-year target? Or should we be looking at other metrics like ROE for example?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I think when we're ready but not necessarily a revenue target. I think as we step into the future, of course, trade tension is one very important thing, right? But we're also looking at something that is, again, also [indiscernible] into the future is the use of technology and AI, right? And then -- and what's the nature of your customers may be changing as well, right?

And I think sustainability is still a topic. Some people said that U.S. is not focused on that. But doesn't mean that the world doesn't need it. The world still need it. And so I would think we have already to an extent come in to a lot into capital planning as well, right? In the past, we shared may be a lot less.

But today, we share a lot about how we plan our capital as well to face the future. So -- and I think 3 years back, it is the right time. As you know, the market interest rate is going up. And you know by pulling ourselves together working as one team, you will have a lot of initiatives that would capture incremental revenue, right?

Into the future, it will be a lot more uncertain. So to an extent, we have to be very vigilant about our capital. And I mean our shareholders correctly like the share buyback plan, and then we need to be able to have a strategy that will be able to keep us resilient, diversified.

And so that an increased customer flow so that we'll be able to defend our income as interest rates come down further, but also to be able to build a lot more into our wealth so that if we can step in a more stable environment and at a low interest rate scenario, customers will invest a lot more again.

So it is to make sure that we are resilient enough to have a strong capital, manage our funding costs, expand our customer base and then devote more and hopefully achieve more contribution by NII going to the next few years. But if we do have targets and plans to share, we will share.

Unknown Analyst

[indiscernible], you mentioned that the bank has commenced share buybacks. Can you give a bit more color on your [indiscernible] 2.5 EBITDA distribution that much shares that they [indiscernible] and also the actually.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Actually, share buyback is tests every day on the stock exchange. And we will go steadily now, so we have a target and then -- but doesn't change plans. I mean the capital planning includes the dividend.

That's why we committed for both years, we would have a special dividend of 10%, right? So that plan doesn't change. But share buyback, you don't time the market to an extent. And there are also stock exchange moves to how much you can acquire, say, any single day.

Unknown Analyst

Okay. Can you please give us a bit of a color on your -- in the reason like a prudent or personal savings [indiscernible] allowance, what kind of scenario that you're facing? Or do we -- can we expect that there won't be any setting aside in the future? This is already the worst case scenario that you said satisfied up for the buffer.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I wouldn't say this is a worst-case scenario because you -- we say the market is uncertain. So I think we are prudent because if you look at the book, you don't need to set aside that SGD 82 million, right? That was the number. So you may not be -- you say you may not -- actually, if you entirely based on economic factors, based on your loan book, what we call an overlay is because we want -- because of the uncertainty.

So if the uncertainty persists, let's say, the second quarter, something very different happened. I mean it still count towards that 10 of the 90 days, right, and the negotiation between countries, right? So if there is more guarantee, you may not need to pull up more. But if the uncertainty even worsen, that is no one can predict, then yes, we may actually provide more.

The important thing is we have to be comfortable at a level based on how we test our book that we think this is the right amount that we are taking. Another impact is what we call the macroeconomic factors that may actually impact how we make our position. That we -- of course, that is according to market. and then the overlay is according to uncertainty. So I hope it will be less uncertain, indeed.

Unknown Analyst

I have two questions. One is about the trade shifts. And another one is about that your [indiscernible] for the SME. So the first question would be, are you seeing any changes or opportunities or challenging in terms of the trade shift soon caused by the tariff tails, maybe like intra ASEAN or from China, with some other ASEAN countries or the rest of the world?

And the second question is, can you give us more of your doors or your assessment in terms of the SME, the bank SME customers. Because we know like maybe the SMEs, they don't have as much as of resources like the big companies to cope with some those chaos and the challenges ahead.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

The first one, trade ships is a very interesting topic and very important topic. Just have to say that customers -- you think about the first Trump administration. There was also a lot of discussion on tariffs, right?

But even before that, I think trade tension between China -- predominantly China and U.S. actually started way back, I think, around 2015, 2016. So the China plus 1 story has been true for many years. And you already see China's plus end story happening, meaning they try to prepare, not just focus on a factory in China and a factory Vietnam, right.

And if you see China business going out, they have already diversified not just in manufacturing, right? They have diversified in tapping the ASEAN market and not go for other resources in ASEAN or go for the population in ASEAN as we -- as they go out to try to sell their products as well.

So if you talk about manufacturing. It cannot happen in a day. You cannot say that because now the tariffs is high on Vietnam and a bit lower in Singapore, I then try to build a plant in Singapore because that's not going to happen. Because you still always have the cost concerned, right?

But the other thing is what if the tariff is changed after another quarter. So you don't plan it like that because manufacturing cannot be shipped in the months time or you want to build something that has to be built in a year or 2 years, et cetera.

But what most bigger customers have bigger corporates have done as they prepare for the future. So being having a diversified manufacturing base is important and where you source your materials is also important, right? But over the past few years, obviously, you see a lot more intra-ASEAN flow.

And that is why ASEAN becomes the largest trading partner for China and vice versa. So in a way, a lot of times, when people talk about China facing the tariff, it's always reflected that actually, China's exports to the U.S. is only 2% of the [indiscernible]. In that sense. So you can imagine China over the years have also been shifting the trade partners as well.

So would that be a some shift, I think, yes, our supply chain is always easier to shift. When you say I tend to buy more from this country. But if any good business, if they do plan directly, they always have options, which they was a bigger switch from time to time. So would the trade shift happen? Yes, it will. It will continue to shift, but it will not happen in the day or in a quarter.

But as likewise, because we're a regional bank, we do look very closely at all our customers and engage them in conversation even more intensely in a period like this.

Then your second question is about SMEs, yes. SME in January is less unless you are very trade-oriented SMEs where you actually buy from some countries and sell to spread different countries. If you're talking about domestic SMEs, they are more subject to local economic growth situation.

So this is what we day in, day I'll have our SMEs do think, right, how to strengthen them, have them to do business make sure that they are easy in dealing with their money, make sure that the banking services to them and advice to them is there all the time, right. Where SMEs are more impacted like what we say the first order impact would be on international transport storage, et cetera.

This has -- this will impact those SMEs and servicing this industry. So we have to be careful and look at them and see how we continue to have done. Today actually shrink some of their investment plan so that they preserve some of the resources when the market returns, they may have to do that. So this is something we engage the customers all the time.

Unknown Analyst

Just on cost. Earlier you mentioned looking at more -- some more discipline in costs. You mentioned [indiscernible] can expand a little bit more on mean by this means of Nordic events [indiscernible].

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Have you referring our cost. I mean -- our cost.

Unknown Analyst

This is more, but some examples from the sort of events on -- and then also on the cost operating expenses up 5% year-on-year and part of the reason was on salary adjustments [indiscernible] something that -- it looks at in the coming quarters. when you talk about financial discipline and things like that.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I think looking at improving staff productivities are ongoing thing, right? If you can -- the flip side of managing cost is to improve productivity. And the earlier on, I talked about use of AI, that's something very important. That's what I'm saying. Actually, that was what I'm referring to as well.

Our profitability and most opportunity AI can bring as to new products and new way to serving customers, yes. Of course is, yes, yes, you can talk about salary cost is the highest, but salary costs always reflect the market. If that is the economic weakening and of course, I mean, the whole world will reduce the [indiscernible] improvement. So that is naturally response to what is happening in the market.

But I think that one of the things that if you can improve your productivity, then you don't need to hire as many, you can slow down, slow down our hiring plans, for example or if that is natural attrition, you may not be too high to replace. When we think discipline is you have to watch this very closely.

I did mention traveling. Yes, we travel a bit less. [indiscernible] talk us to be able to talk to everybody online. So of course, in a very rapid growing market, you tend to actually travel more to see your team and then you organize things for your clients. So in the market that is shrinking, there is -- in a way only to do that or you would actually apply more discipline in doing that as well. It's how we spend our money, I think, so to say.

Unknown Analyst

Last question. At fully loaded CET1 ratio, 14, right? How much is to [indiscernible] What's the excess capital that we have?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I have a good answer on that. [indiscernible] can work it out mathematically. It's not an you're going to we don't really disclose like [indiscernible] capital but suffice to say that we announced or [indiscernible] capital return plan, [indiscernible] what are the excess needed to navigate uncertainties so on and so forth, our business franchise growth and come out [indiscernible]. \$5 billion you can see. Mathematically, you can also [indiscernible] that up.

Unknown Analyst

Just one question, there is a little bit of tension. At the bank, [indiscernible] is encouraging all the Chinese banks to lend. And then you've got this -- so 19% stake or say 20% stake in bank. So what is -- I mean, is that included in those banks that if you see encouraging to lend because some of them have raised capital or something in the last -- in the first quarter. So what is the situation that the Bank of [indiscernible] could mean a big stake in it.

Ching Ching Koh

Head of Group Brand & Communications

30%.

Unknown Analyst

30%. you can -- associate. Yes.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Okay. China regulators in period of economy situation, always have certain guidance on the 4 banks, right? And the biggest influence is on the centrally owned, the larger banks, yes? So that [indiscernible] is not owned centrally. That enable also a listed bank in China, and it has a range of challengers. Of course, they have to do their part and support economy.

But they also have a very -- I would say that they have -- there are things to generally follow. For example, regulators sometime will give you target that your lending to SMB can not be slower than your loan book growth. So that sometimes there is guidance like that. I'm just giving you past examples, right? Past examples.

Many of them, you don't choose to support only one sector of the economy, right? So banks in general, you have to follow, but doesn't take away how you judge your customers and who to lend to. Lending doesn't mean that you just have to lend regardless without putting in your risk management parameters. So [indiscernible], you want to say?

Chin Yee Goh

Group Chief Financial Officer

I think just to be mindful [indiscernible] associate company. So they are listed on their own. So we can't comment for their business plans. I think that's quite positive.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

What I'm trying to say is they also apply good business principles, yes, and risk management principles.

Unknown Analyst

Are they likely to raise capital? That is really...

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

We can't comment. [indiscernible]

Unknown Analyst

Understood. So can I rephrase if they need to raise capital will you support? I think can not.

[indiscernible]

But nothing to show what there happened.

Chin Yee Goh

Group Chief Financial Officer

Yes. They are also not support [indiscernible].

Operator

Okay. Any other questions? Okay. If not, thank you very much.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Thank you very much.

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